When Rao sought re-election in 1996, the Indian electorate rebuffed him and the Congress party. The right-of-centre Bharatiya Janata Party (BJP), led by Atal Bihari Vajpayee, emerged as a major force but did not secure a majority in parliament and failed to find coalition partners. India went through two elections and a succession of coalition governments in three years, with Haradanahalli Doddegowda Devegowda (June 1996–April 1997) and Inder Kumar Gujral (April 1997–March 1998) serving as prime ministers before Vajpayee could form a coalition government for thirteen months (March 1998–October 1999). In late 1999 Vajpayee won a full five-year term as prime minister at the head of the National Democratic Alliance (NDA), an alliance of political parties led by the BJP. India's foreign policy drifted under the unstable coalitions before Vajpayee restored order to the conduct of external relations.

Vajpayee had been external affairs minister in the 1977–79 Janata Party government. His world view had been shaped by the Hindu revivalist movement Rashtriya Swayamsevak Sangh (RSS) of which he had been a lifelong member. Vajpayee had been a parliamentarian for the Bharatiya Jana Sangh before the party evolved into the BJP. He was considered a moderate within the Hindu nationalist movement, having avoided association with some of the most hard-line stances and actions of his own allies, such as attacks on India's religious minorities. The BJP's foreign policy accepted some strands of Nehruvianism, especially the belief that India is a great civilization and that it has a role to play in the global arena as well as belief in economic independence. It differed from Nehruvianism in emphasizing pursuit of economic and military power, not just invoking India's moral or civilizational greatness.

Vajpayee came to power expressing a desire to rebuild ties with India's neighbours, improve ties with the United States, build on India's Look East policy and push for building India's military and economic resources. His critics point out, however, that Vajpayee left decisions to a small group of